National School of Development

The Facts and Economic Impacts of the US-China Trade War

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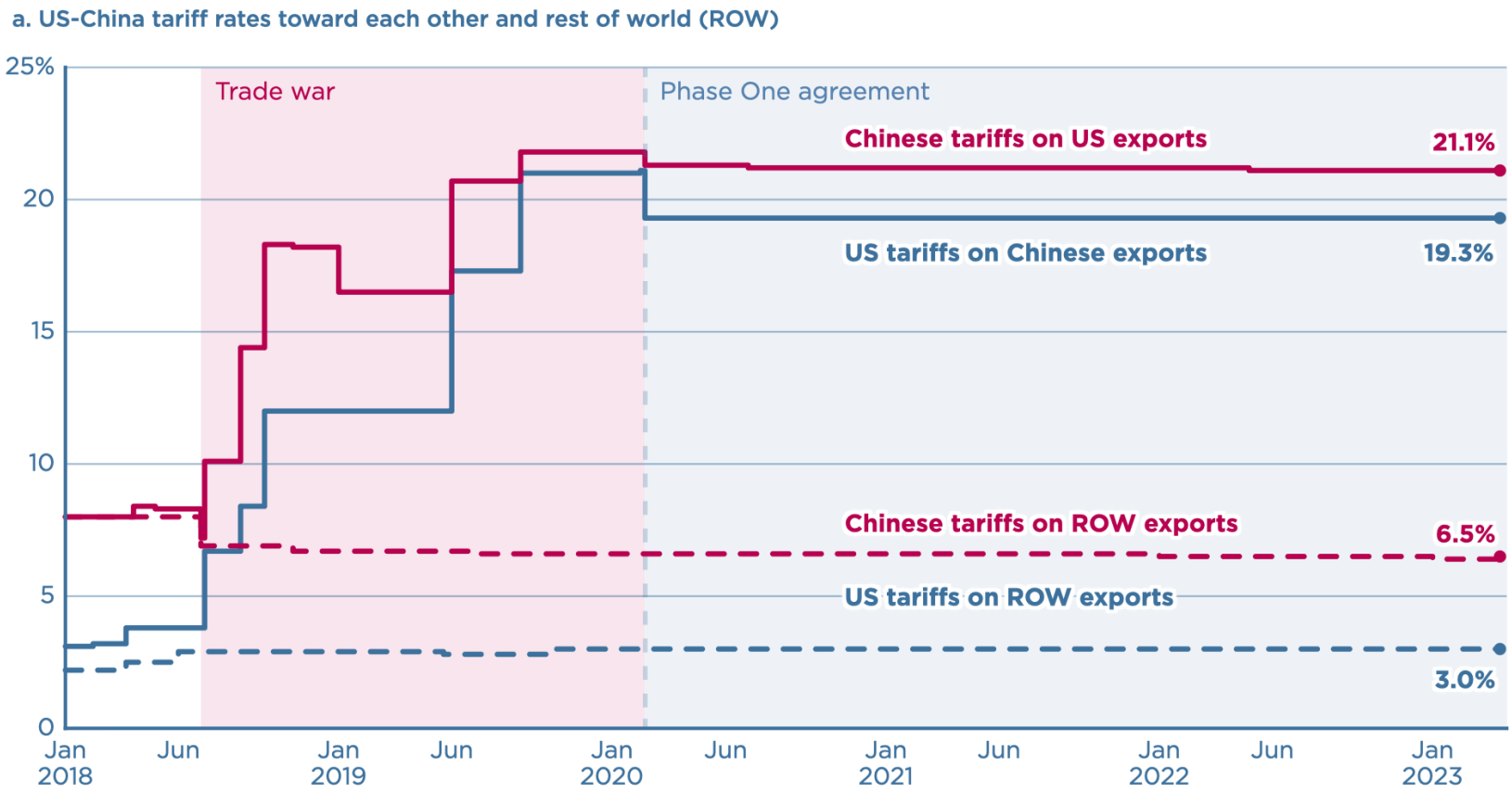
US Trade in Goods with China

Source: US Census

The China-U.S. Trade War

- The 2018-2019 trade war
  - The United States raised tariffs for **roughly $350 billion** of imports on thousands of products from China.
  - China **retaliated** over several tariff waves, targeting about $100 billion of US exports
  - **De-escalated** by signing a trade deal.

The 2018-2019 trade war

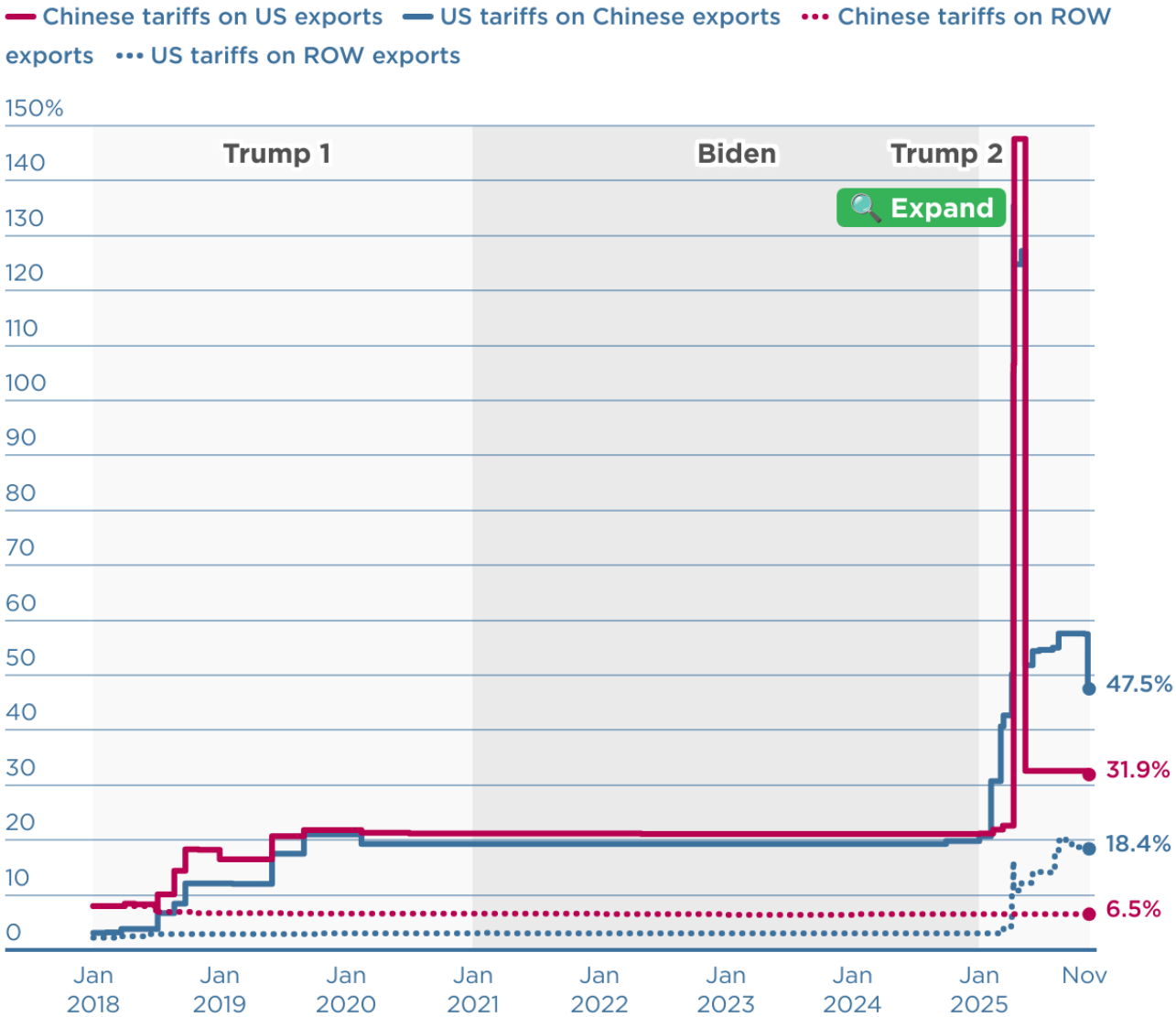


Source: Chad Bown PIIE Website Articles

US-China trade war tariffs: An up-to-date chart

Last updated November 14, 2025

a. US-China tariff rates toward each other and rest of world (ROW)



“Liberation” Day

- On April 2, 2025, President Donald Trump launched tariffs against almost every nation on earth.

Country	Tariff Charges in the U.S.A. (including currency manipulation and trade barriers)	U.S.A. Discounted Reciprocal Tariffs	Country	Tariff Charges in the U.S.A. (including currency manipulation and trade barriers)	U.S.A. Discounted Reciprocal Tariffs
China	67%	34%	Peru	10%	10%
European Union	39%	20%	Nicaragua	36%	18%
Vietnam	90%	46%	Norway	30%	15%
Taiwan	64%	32%	Costa Rica	17%	10%
Japan	46%	24%	Jordan	40%	20%
India	52%	26%	Dominican Republic	10%	10%
South Korea	50%	25%	United Arab Emirates	10%	10%
Thailand	72%	36%	New Zealand	20%	10%
Switzerland	61%	31%	Argentina	10%	10%
Indonesia	64%	32%	Ecuador	12%	10%
Malaysia	47%	24%	Guatemala	10%	10%
Cambodia	97%	49%	Honduras	10%	10%
United Kingdom	10%	10%	Madagascar	93%	47%
South Africa	60%	30%	Myanmar (Burma)	88%	44%
Brazil	10%	10%	Tunisia	55%	28%
Bangladesh	74%	37%	Kazakhstan	54%	27%
Singapore	10%	10%	Serbia	74%	37%
Israel	33%	17%	Egypt	10%	10%
Philippines	34%	17%	Saudi Arabia	10%	10%
Chile	10%	10%	El Salvador	10%	10%
Australia	10%	10%	Côte d`Ivoire	41%	21%
Pakistan	58%	29%	Laos	95%	48%
Turkey	10%	10%	Botswana	74%	37%
Sri Lanka	88%	44%	Trinidad and Tobago	12%	10%
Colombia	10%	10%	Morocco	10%	10%

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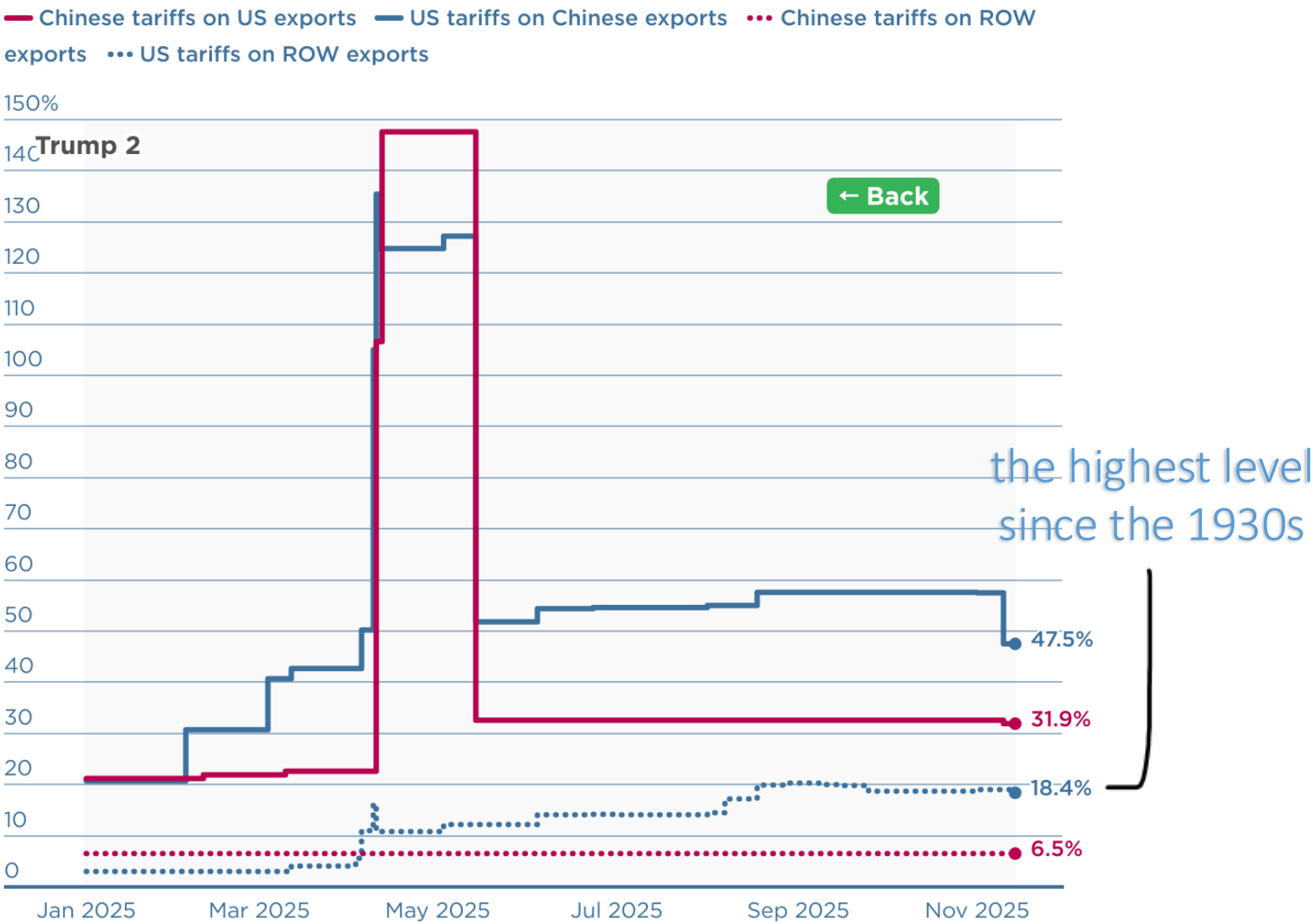
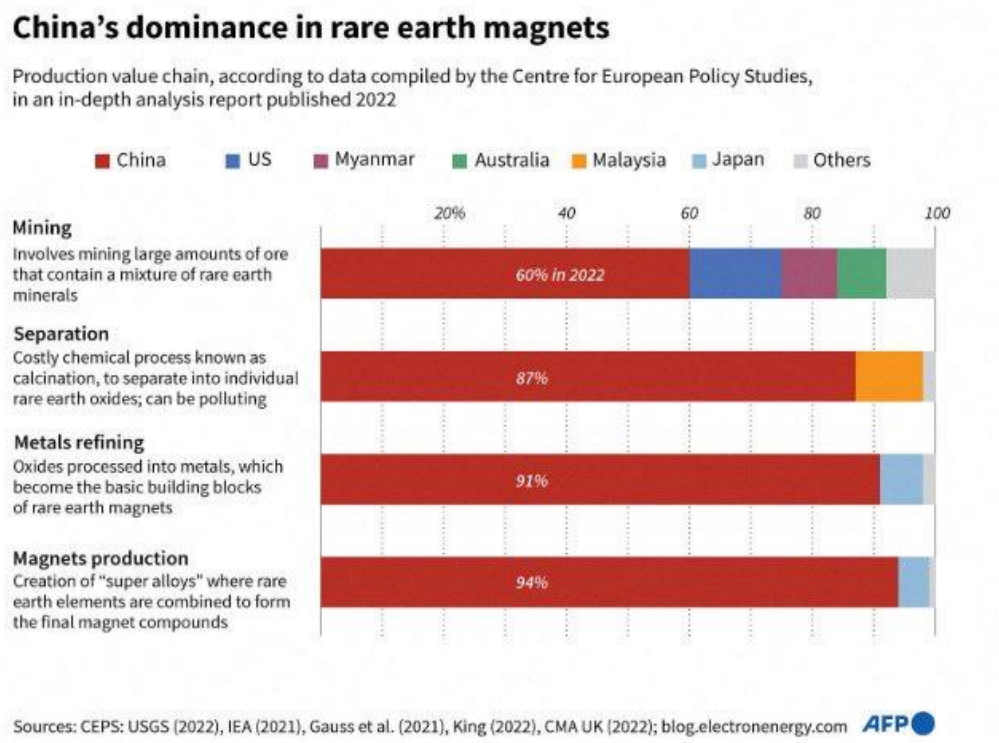


China countered with export controls

- On 4 April, 2024, China imposed rare earth export controls on whole world, not just the US;
- WTO compliant, and a system in planning for years.



The World War Trade

- By 4 April 2025:
  - Largest importer → tariffs on whole world.
  - Largest exporter → export controls on whole world.
- World trade is weaponized as never before in peacetime.

After April 2

- **Retaliations**: China, but also EU, Canada; **Deals**: China, UK, Vietnam, Indonesia, Japan, Philippines, EU, South Korea, Thailand, Cambodia, Malaysia, Argentina, Ecuador, El Salvador, and Guatemala, Switzerland and Liechtenstein, Taiwan, India, North Macedonia;
- **On Feb. 20, 2026, the Supreme Court rules against Trump's IEEPA tariffs**: The Supreme Court releases an opinion that states Trump's use of the International Emergency Economic Powers Act (IEEPA) on imports from Canada, Mexico, and China (to address fentanyl and border security) and from the world (to address trade deficits) "does not authorize the President to impose tariffs."
- President Trump has imposed a new 10% global tariff to replace ones struck down by the Supreme Court. On Feb. 21, Trump said he would increase his new global tariffs to 15%.

Why

- The economics (and politics) of China shock
- (Tech) competition

Trade 101

- **Gains from Trade**: everybody could gain from trade due to reasons like comparative advantage, as long as “transfer” tools are available.
- **Trade balance**: largely represents spending relative to production or earnings.
  - The U.S. outspent its national income → current account deficit.
- **Tariff incidence** is born by both sellers and buyers.
- Modern global economy has deeply **interconnected production and finance networks**, and domestic production now relies heavily on imported intermediate inputs

The “China Shock”

- Dubbed by the the literature for China’s trade expansion
  - Manufacturing sector employment in the United States has been **falling steadily** since the 1960s.
  - From 2000 to 2008, the period of the China shock, manufacturing sector employment **fell even more rapidly**.
  - Researchers find that **a part of** that was a consequence of China’s trade expansion, which itself was due to either changes in trade policy or changes in productivity in China.

Aggregate Gains from Trade are Widely Agreed upon by Trade Economists

Table 1 Aggregate gains from US–China trade (1995–2011)

	Total gains	Contribution of trading partner (China, United States)	Contribution of the rest of the world
United States	3.39%	17.21%	82.79%
China	4.58%	9.79%	90.21%

Source: Caliendo and Parro (2023)

Distributional Effects

- Autor, Dorn, and Hanson (2013):
  - Local labor markets that were **more exposed** to the China shock experienced **a larger decline** in the manufacturing employment share of the working-age population relative to labor markets that were less exposed.
- Galle et al. (2022):
  - in the aggregate the China shock **increases US welfare by 0.22%;** but **15.9% of the population suffer welfare losses** and that those losses can be **up to five times as great** as the average gains;

Other Effects

- Non-manufacturing employment: positively affected
- Innovation: very mixed
- Attitude toward globalization and on political outcomes
  - Autor et al. (2020): a shift to the right in media-viewing habits and political beliefs, more competitive congressional elections, greater polarization in the ideological orientation of campaign contributors, and net gains in the number of conservative Republican representatives.
- …

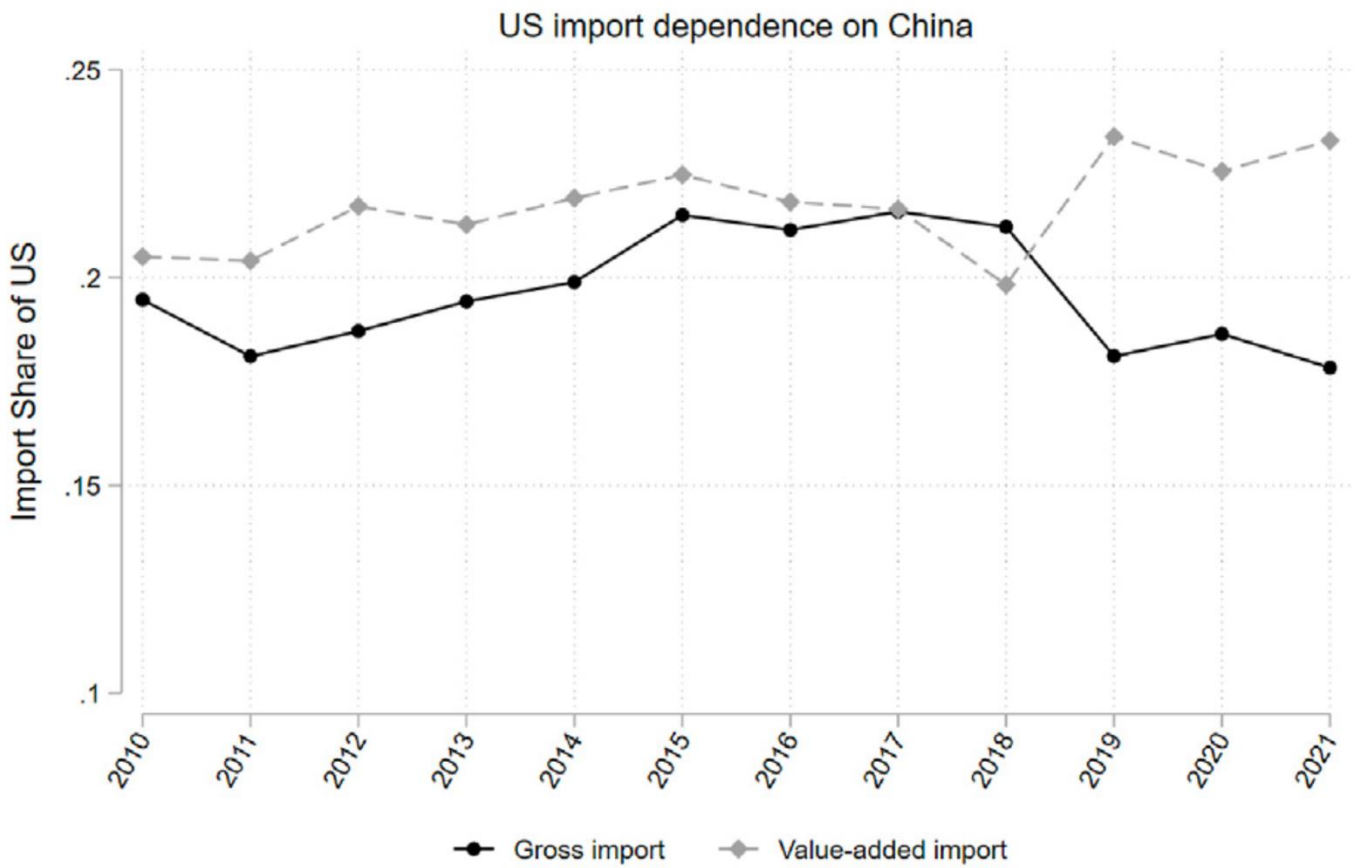
Has Trump Tariffs Worked?

- **Complete** Pass-through:
  - Amiti et al. (2019), Fajgelbaum et al. (2019), Cavallo et al. (2021): Estimate the effects of the trade war on US goods prices and quantities. Find that the tariff changes were **almost entirely passed through to domestic prices**, leaving relative export prices unchanged.
- Caliendo & Parro (2022) find that aggregate US households' **welfare declines 0.1%** due to the trade war.
  - Significant distributional effects across space: most states are worse off, whereas a few southern states, such as Texas, Oklahoma, and Arkansas; New Mexico in the Southwest; and Washington, Idaho, and Oregon in the Northwest are slightly better off.
  - Persistent effects on employment and wages across locations.

Has the 2018–2019 Trade War Reversed the Distributional Effects of the China Shock?

- Caliendo and Parro (2023): To what extent the trade war **reversed** the distributional effects of the China shock across US labor markets (particular the employment losses in the manufacturing sector)?
  - The recent trade war generated welfare losses and **very small effects** on employment and was ineffective in reversing the distributional effects and decline in manufacturing employment due to the China shock.

Has the 2018–2019 Trade War Reduced US Supply Chain Dependence on China?



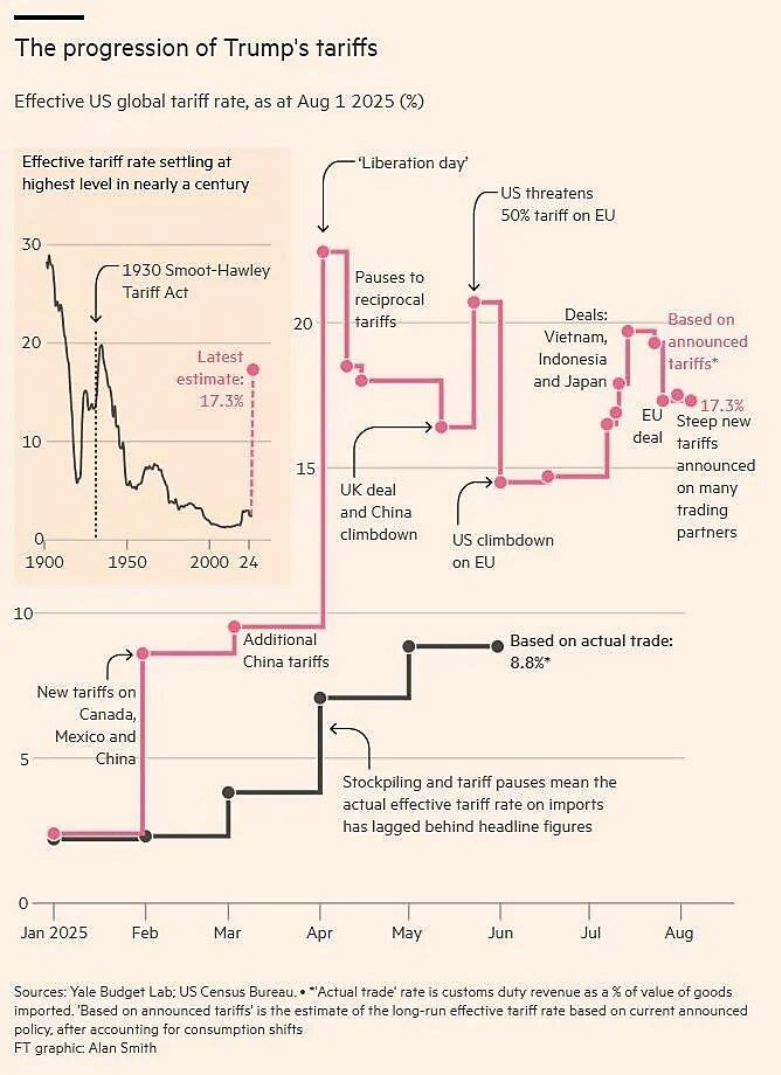
Source: Ma and Ning (2024)

Narratives

- Peter Navarro on 21 Decmber, 2025:
  - “Tariffs aren’t a press release. They’re an instrument that reshapes bargaining leverage, investment math, and supply-chain location decisions. Their success can be measured only using the right metrics and the right timeline. Capital needs time to respond. But when supported by stable policymaking, tariffs can powerfully and positively address trade deficits.”

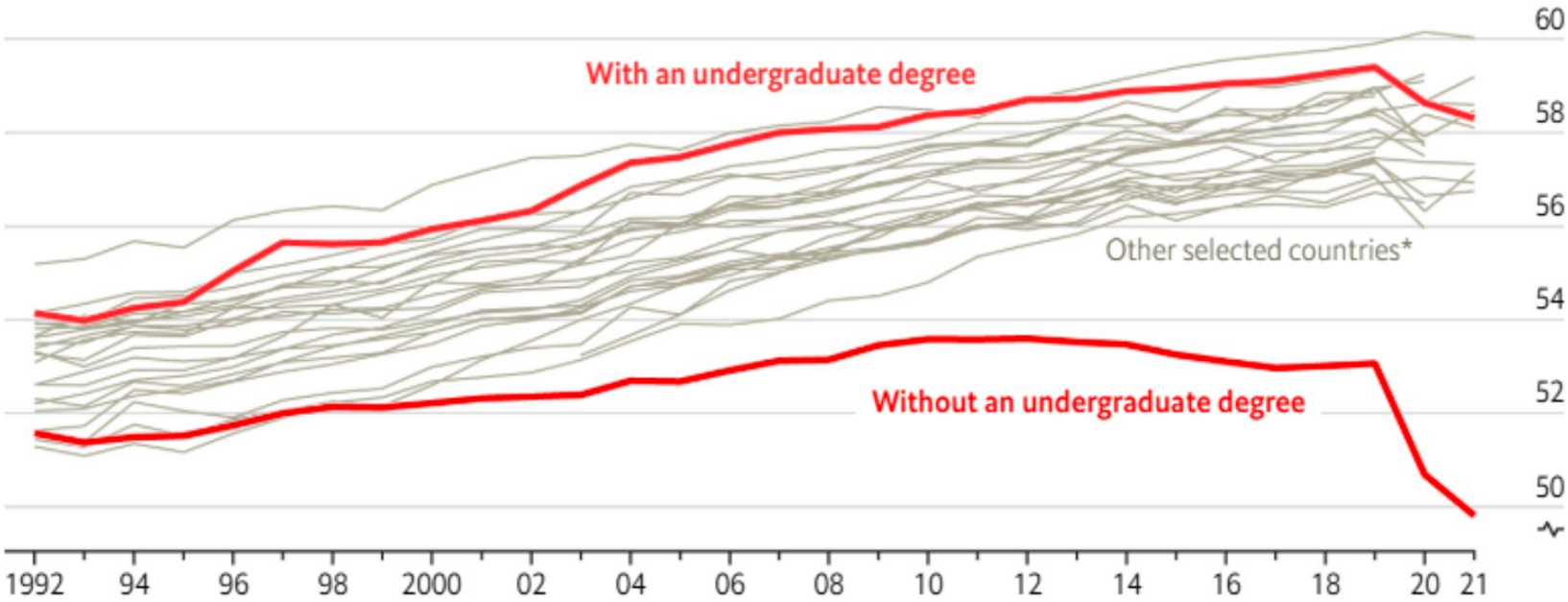
Economics Rational Cannot be All

- But Trump tariffs and the ways they are used cannot be purely, or even mostly, based on economic rationales.



US Middle-class Pain is Real

United States, remaining life expectancy at age 25, years

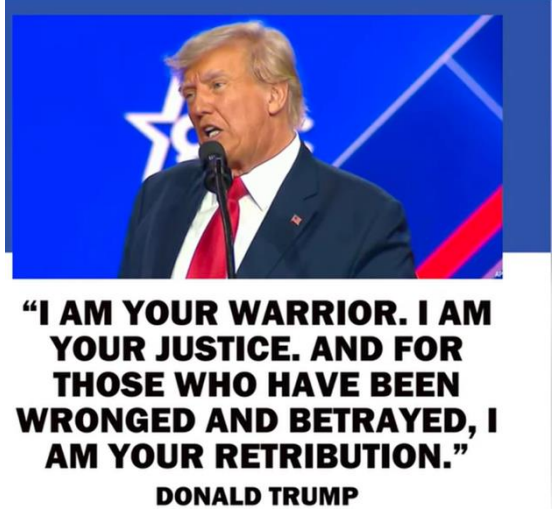


*Australia, Austria, Belgium, Britain, Canada, Denmark, Finland, France, Germany, Greece, Ireland, Israel, Italy, Japan, Netherlands, New Zealand, Norway, Portugal, South Korea, Spain, Sweden and Switzerland

Sources: Human Mortality Database; "Accounting for the widening mortality gap between American adults with and without a BA", A. Case and A. Deaton, *BPEA*, 2023

Source: The Economist magazine.

The Populist Promise



- For decades, US workers compete with China abroad and robots at home.
- Without government help to adjust, middle class becomes the "forgotten men & women".
- Trump channels their pain into populism – turning victimhood into trade policy.
  - Americans have long believed that other nations take unfair advantage of the US. A large part of Trumpian trade policy is about sounding like he's standing up for the middle class.
- And a large chunk of the policy makers seem to believe that other countries, including China, would collapse and back down with US tariffs.

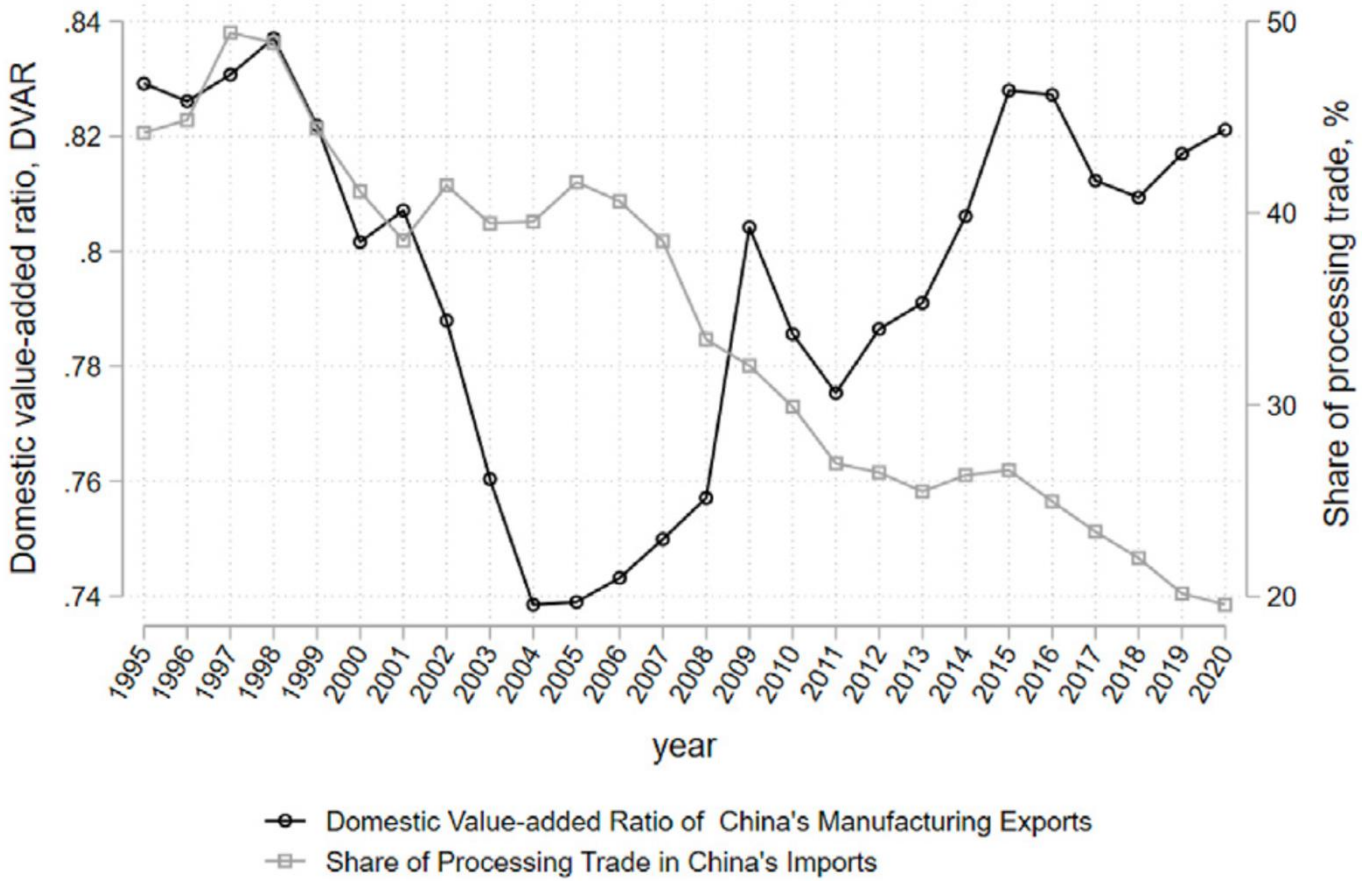
Why

- The economics (and politics) of China shock
- (Tech) competition

Dynamic Aspect of Trade and Division of Labor

- Developing countries always want to climb up the global value chain. Developed countries probably want to keep their positions.
  - Chinese are convinced that the US want to stop China from rising, and thus also double down on strategic national safety, technology and supply chain independence?
- Increasing return to scale, learning, innovation, market powers, are often used to justify protective trade policies.

A “Pursued Era” by China



Source: Ma and Ning (2024)

A “Pursued Era” by China

- Ma and Ning (2024): The production of **labor-intensive products** from the US, Europe, Japan, and South Korea was transferred to the Chinese mainland due to their rising labor costs, while their comparative advantages in **capital-intensive and even technology-intensive** manufacturing industries were gradually lost due to the free flow of capital and technology.
- For products in which the share of the US in world exports decreased, the share of China increased. Revealed comparative advantages (RCA) of China's export had been improved in 2000–2017 in the HS-4 products in which the US used to have revealed comparative advantages.

China-US Trade War Product Structure

- The “301 tariffs” imposed by the US initially focused on industries related to China’s **“Made in China 2025”** initiative, such as aerospace, information technology, and auto parts.
- Over time, they expanded to cover more industries, including not only high-tech products but also mid- to low-end manufacturing sectors like textiles, apparel, plastics, and rubber.

Biden Administration

- National Security Advisor Jake Sullivan on September 16, 2022:
  - “We previously maintained a ‘sliding scale’ approach that said we need to stay only a couple of generations ahead. That is not the strategic environment we are in today. Given the foundational nature of certain technologies, such as advanced logic and memory chips, we must maintain as large of a lead as possible.”
- Secretary of Commerce Gina Raimondo on November 30, 2022:
  - Protect US core technologies through strategically updated export control policies and investment screening frameworks.
  - Reassess investments in key technological areas.
  - Strengthen protection of critical supply chains, clearly stating the need to relocate the core parts of the supply chain back to the domestic market or to “friendly countries.”

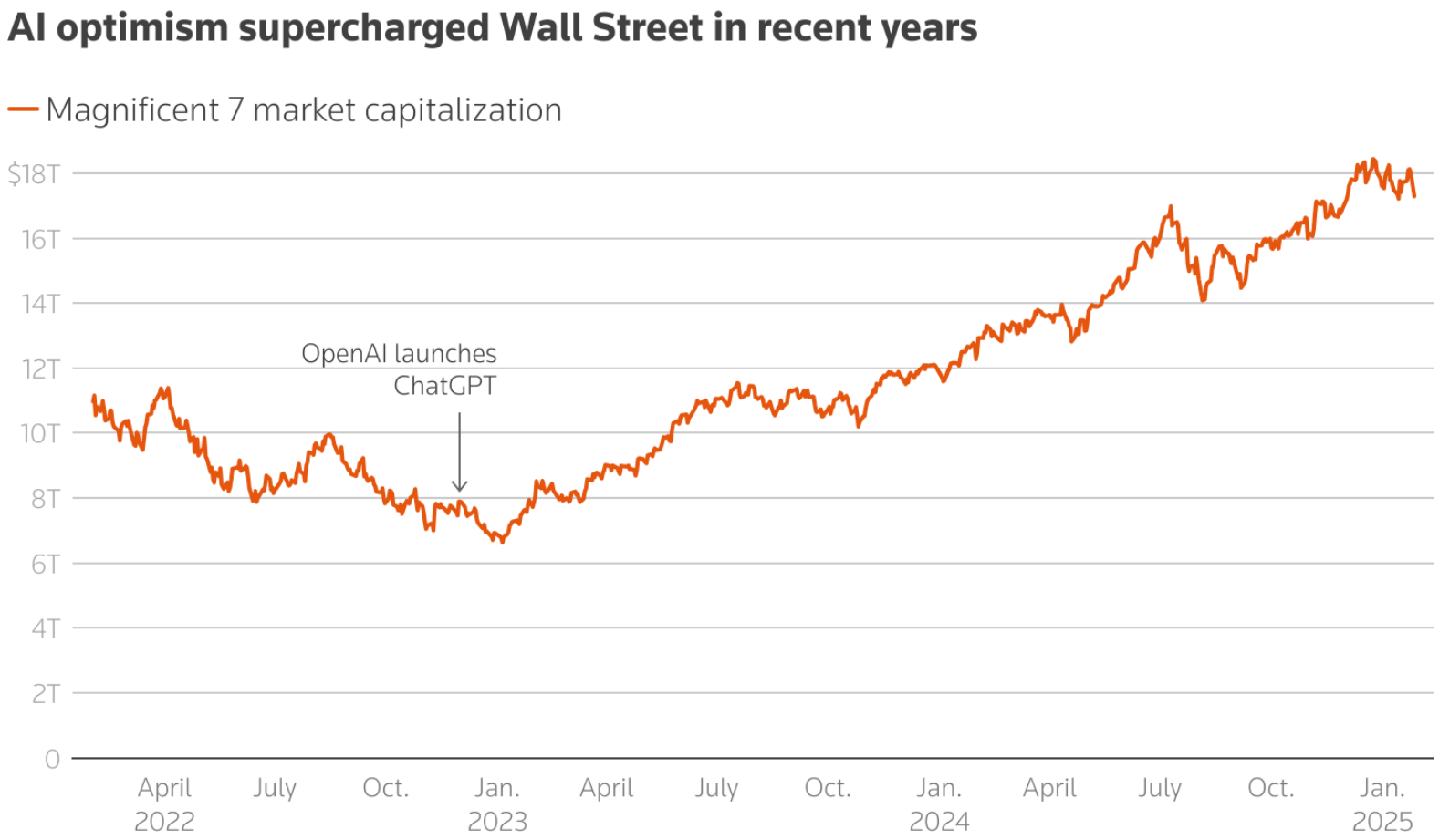
Policies and Events

Policy Tools	Legal Basis	Implementation	Announcing Time
Coordinate with Allies to Decouple with China	National Defense Production Act	Requires ally businesses to cease supplying certain products to Chinese companies like Huawei	2020.9
“Poison Pill”	2022 Chips and Science Act and 2022 Inflation Reduction Act	Multinational enterprises that enjoy subsidies under relevant US legislation are prohibited from investing in China.	2022.8
Technology Blockade		Establishes a “Next G” alliance to research 6G technology, restricted to China	2021.10
Technology Exchange Restriction	Foreign Investment Risk Review Modernization Act and relevant announcements	Prohibits Chinese investment in US enterprises, and restricts exchanges of Chinese technical personnel	2018.11
Investment Ban	National Emergency State	Restricts investments in China and specific sectors under US and related control	2023.8

Policies and Events

Policy Tools	Legal Basis	Implementation	Announcing Time
Entity List	Export Administration Regulations (EAR) (US) Part 744	The US has included more than 611 organizations, enterprises, and individuals to the Entity List	2018.4 (ZTE); 2019.5 (Huawei); 2020.5 (FDPR-Huawei); 2020.12 (SMIC)
Government Intervention in Business	2020 National Export Control Law and relevant laws	Prohibits the sales of products by Huawei, China Mobile, BYD, ZTE, and other companies related to national security concerns	2018.7
Critical Minerals Alliance Expansion	Executive coordination under National Security & DPA authority	Expansion of Mineral Security Partnership; coordination with Australia, Canada, Japan, EU to secure lithium, cobalt, nickel, rare earths supply chains outside China.	2025
Indirect Allied Pressure on Chinese Semiconductor Ownership	Allied National Security Review Mechanisms	US pressure contributed to Dutch government forcing Chinese-owned Nexperia to divest from Dutch chipmaker (2022–2023 process, political spillover continuing into Trump 2.0 context).	Initial 2022; spillover relevance 2025

Semiconductor & AI

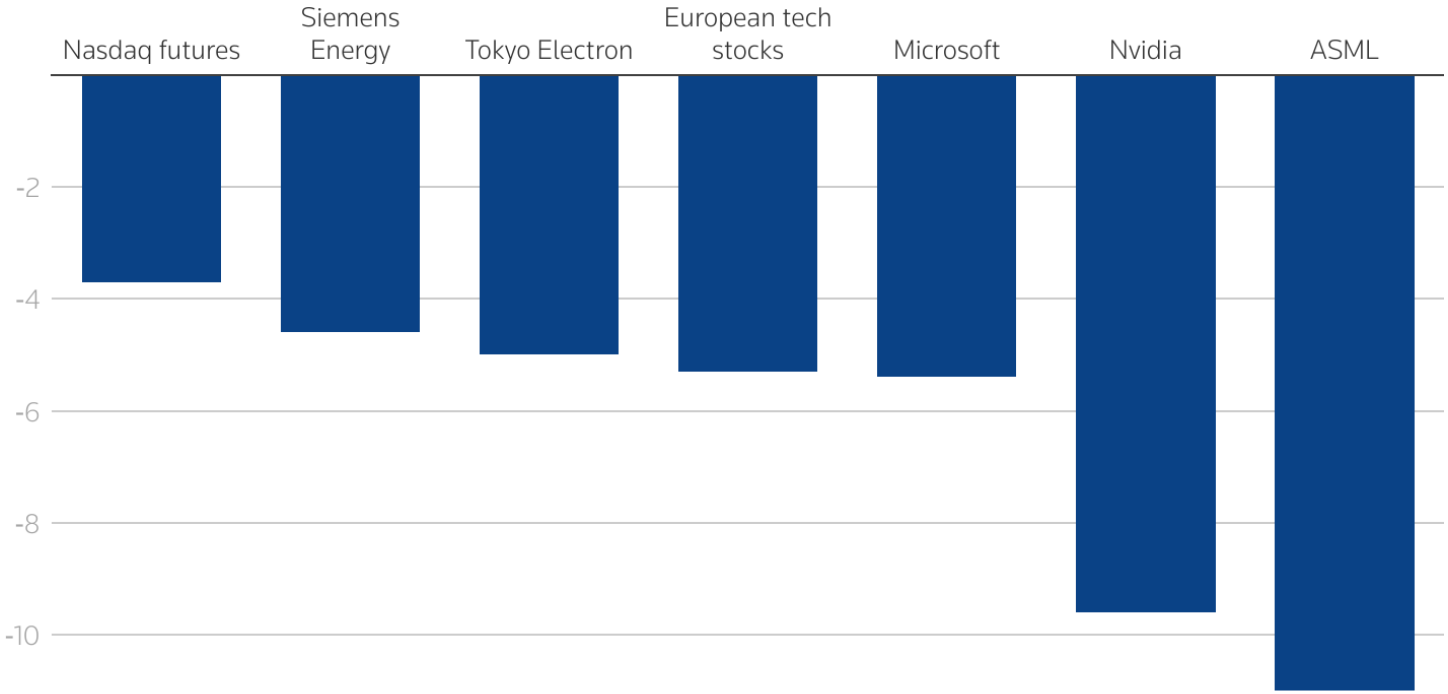


Source: LSEG
Created by Thomson Reuters

Semiconductor & AI

China's AI push batters tech stocks

Chinese startup DeepSeek's launch of a free open-source AI model to rival OpenAI's ChatGPT is battering the tech sector.



Note: Percentage share price fall on day.

By Dhara Ranasinghe • Source: LSEG | Reuters| Dhara Ranasinghe

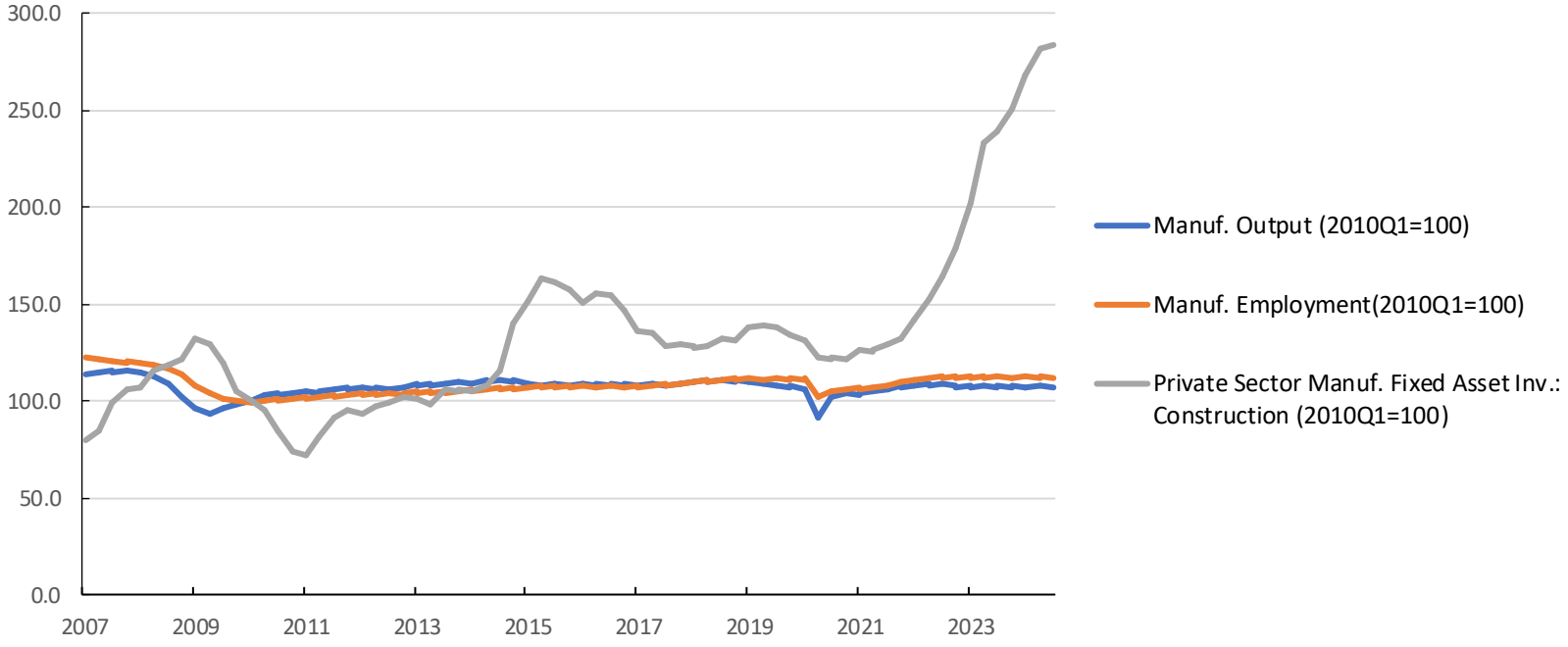
Appendix

IPE?

Chinese Trade in Goods with the US

US Manufacturing Reshoring

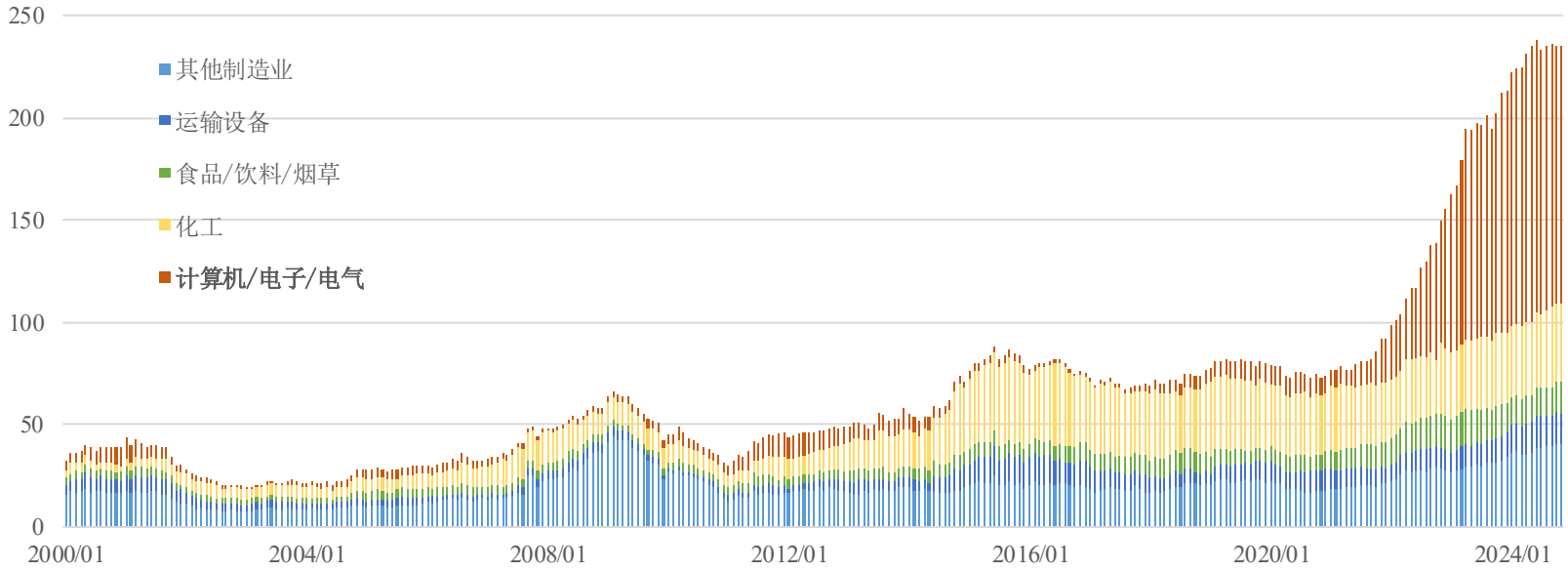
- The growth in US manufacturing output and employment has not been significant, but <u>investment</u> in the manufacturing sector has expanded substantially.



- Data Source: US Census Bureau, US Bureau of Labor Statistics

US Manufacturing Reshoring

- In manufacturing investment, the computer/electronics/electrical industries dominate, showing a trend of semiconductor industry



- Figure: US Private Sector Manufacturing Subsector Construction Investment (January 2001 - November 2024, Monthly Data)
- Note 1: Data are seasonally adjusted annualized figures, in billions of dollars.
- Note 2: Construction spending primarily refers to expenditures related to the construction of buildings, excluding purchases of production equipment, etc.
- Data Source: US Census Bureau

References

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